P230/2
ENTREPRENEURSHIP
EDUCATION
Paper 2
June 2024
3 Hours

DEPARTMENT OF ENTRPRENEURSHIP EDUCATION

PRE MOCK EXAMINATIONS, 2024

Uganda Advanced Certificate of Education

ENTREPRENEURSHIP EDUCATION

Paper 2

3 hours

INSTRUCTIONS TO CANDIDATES:

- *This paper consists of **six** questions.*
- *Answer only **four** questions INCLUDING Question 5 and/or 6*
- ***All** questions carry equal marks.*
- *Any additional question(s) answered will **not** be marked.*

Turn Over

1. You have established a beverage processing plant.

   (a) Draft strategies to ensure effective communication in your business (06 marks)

   (b) Propose policies for workers to follow to manage inventory (06 marks)

   (c) Make a brand label to be placed on your 2 litre bottle of juice.(07 marks)

   (d) Formulate strategies for the survival of the business in the competitive market (06 marks)

2. Your agricultural produce store is involved in the processing and marketing of a variety of agricultural products. You have allocated shs.10,000,000 to be used to improve on marketing operations.

   (a) Prepare a marketing expenses budget for the business. (07 marks)

   (b) Design a programme for promoting sales of the business. (06 marks)

   (c) Present guidelines for ensuring business success. (06 marks)

   (d) Draft a programme for determining the profitability of your business. (06 marks)

3. You plan to start a Hand Craft business.

   (a) Design a questionnaire to be used in carrying out market survey (07 marks)

   (b) Formulate guidelines for evaluating your business opportunity (07 marks)

   (c) Prepare a poster for your project (05 marks)

   (d) How will the project benefit the community (06 marks)

4. You have opened up a social enterprise supplying tree seedlings to encourage tree planting in your home area to overcome drought.

(a) Present a theory of change for your social enterprise. (05 marks)

(b) Draw a programme for becoming a social entrepreneur. (07 marks)

(c) Develop guidelines that should be followed to minimize deforestation. (07 marks)

(d) Write a memo inviting the volunteers in your social enterprise to discuss the causes of drought. (06 marks)

5. (a) Muko Electronics imported consignment of goods valued at CIF value $2,500(USD). The goods attract import duty of 20%, excise duty of 25%, VAT 18% and withholding tax at 6% (given exchange rate of dollar is shs3,800)

Compute

(i) Import duty (2 marks)
(ii) Excise duty (2 marks)
(iii) VAT (2 marks)
(iv) Withholding tax (2 marks)

(b) Given that the business employs Okello Bob, Mukasa Arnold and Mugisha Allan and they earn shs12,500,000, shs1,780,000 and shs395,000 respectively,

Below are the rates:

Income (shs)	**Tax liability**
0-235,000	NIL
235,000 – 335,000	10% of income that exceeds Shs 235,000

335,000 – 410,000	Shs10,000 plus 20% of the amount that exceeds shs 335,000
Above 410,000	(a) Shs25,000 plus 30% of income that exceeds shs 410,000 (b) Any income that exceeds 10,000,000 is charged an extra tax rate 10% .

Compute PAYE for

(i) Okello Bob (3 marks)

(ii) Mukasa Arnold (2 marks)

(iii) Mugisha Allan (2 marks)

An illustration below shows the various stages that are involved in the distribution of goods

Stage	Activity	Purchas(price) (shs)	Selling price (shs)	V.A.T 18%
1	Importer at customs	10,000,000	10,000,000	
2	Importer at local distribution	10,000,000	12,000,000	
3	Wholesaler	12,000,000	16,000,000	
4	Retailer	16,000,000	19,000,000	

(i) Compute the VAT at each stage of distribution. (6 marks)

(ii) Advise the trader on the negative consequences he would face in case he fail to meet his tax obligations. (4 marks)

6. The following projections relate to Fabiola traders for the month of July, August, September and October 2024.

(i) Cash in hand shs.50,000,000 and overdraft of shs.60,000,000.

(ii) The business offers both cash and credit sales. Cash sales are projected at shs.25,000,000 monthly. Credit sales are 75% of the cash sales and the debtors are to pay 80% in the month of sale and the balance in the next month less 10% cash discount.

(iii) The business intends to acquire two loans in the 1st and 3rd months for shs.12,000,000 and 16,000,000 respectively payable in four equal monthly installments with effect from the months of acquisition at an interest rate of 5% monthly on straight line method for each loan.

(iv) The business employees both fulltime and part time workers, with fulltime workers earning twice the pay of part-time workers. The business has 40 part-timers and 15 full time workers. A part-time worker is paid shs.200,000 per month.

(v) The business plans to buy a vehicle in the fourth month at shs.40,000,000 on credit, and is to depreciate at shs.4,000,000 per month.

(vi) The business intends to install a machine in the first month on differed payment basis. The machine costs shs.30,000,000. Shs.6,000,000 is to be deposited as down payment and the balance to be paid in the ratio 4:3:1 in the following months.

(vii) Monthly Cash purchases are projected at shs.10,000,000 while monthly credit purchases are estimated at 80% of the total monthly sales whose payment is effected in the following month.

(viii) Donation of shs.5,000,000 is expected in the 2nd month. This is to increase by 15% monthly.

(ix) Payments for utilities in July are estimated at shs.4,000,000. This is to reduce by 10% monthly.

(x) A corporation tax of 30% is to be paid on each month's total sales revenue.

Required:

(a) Prepare Fabiola traders cash flow plan for the months of July, August, September and October 2024. (19 marks)

(b) Comment on the net cash position. (03 marks)

(c) Suggest measures of ensuring proper management of cash. (03 marks)

END